

# AMEVA MUTUAL FUND DISTRIBUTORS

(AMFI-Registered Mutual Fund Distributor)

ARN: 145058

EUIN: E028717

## CUSTOMER – MUTUAL FUND DISTRIBUTION AGREEMENT

AND

## INVESTOR RISK PROFILING, DUE-DILIGENCE & PRODUCT APPROPRIATENESS FORM

Version: 1.0

Effective Date: \_\_\_\_\_

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### PART A – CUSTOMER–MFD AGREEMENT

This Agreement is entered into between:

**AMEVA MUTUAL FUND DISTRIBUTORS**, an AMFI-Registered Mutual Fund Distributor holding **ARN 145058**, hereinafter referred to as **“AMEVA” / “Distributor”**;

AND

**Mr./Ms./M/s.** \_\_\_\_\_,

PAN: \_\_\_\_\_,

Address: \_\_\_\_\_,

hereinafter referred to as the **“Investor/Customer.”**

The Distributor and Investor are collectively referred to as the **“Parties.”**

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## 1. PURPOSE AND SCOPE

1.1 The Investor engages AMEVA for distribution and servicing of mutual fund products and for facilitating transactions in mutual fund schemes.

1.2 AMEVA shall act solely in the capacity of a **Mutual Fund Distributor**, subject to applicable SEBI regulations, AMFI guidelines, AMFI Code of Conduct, AMC requirements and applicable law.

1.3 AMEVA shall not have discretionary authority over the Investor's investments.

1.4 The Investor retains the final decision-making authority regarding all investments.

1.5 AMEVA does not guarantee the performance of any mutual fund scheme or achievement of any investment objective.

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## 2. INVESTOR DUE DILIGENCE

AMEVA shall obtain relevant information from the Investor for appropriate customer due diligence, including:

- KYC information;
- PAN;
- bank details;
- financial position;
- income and net worth;
- investment objectives;
- investment horizon;
- liquidity requirements;
- investment experience;
- risk tolerance;
- risk capacity;
- existing investment exposure; and
- other information reasonably required for servicing and appropriate product assessment.

The Investor undertakes to provide accurate and complete information.

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## 3. INVESTOR RISK PROFILING

AMEVA shall assess the Investor's risk profile by considering both:

### **Risk Capacity**

The Investor's financial ability to withstand losses.

## **Risk Tolerance**

The Investor's willingness to accept fluctuations and potential losses.

The risk assessment shall consider the Investor's financial position, investment horizon, liquidity requirements, investment experience, investment objectives and behavioural response to market volatility.

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## **4. INVESTMENT OBJECTIVE**

The Investor's principal objective shall be recorded as:

- ☐ Capital Preservation
- ☐ Regular Income
- ☐ Wealth Creation
- ☐ Retirement Planning
- ☐ Children's Education
- ☐ Children's Marriage
- ☐ Tax Planning
- ☐ Long-Term Capital Appreciation
- ☐ Other: \_\_\_\_\_

### **Investment Horizon:**

- ☐ <1 year
  - ☐ 1–3 years
  - ☐ 3–5 years
  - ☐ 5–10 years
  - ☐ >10 years
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## **5. RISK PROFILE**

Following completion of the Risk Profiling Questionnaire in Part B, the Investor shall be classified as:

- ☐ Conservative
- ☐ Moderately Conservative
- ☐ Moderate
- ☐ Moderately Aggressive
- ☐ Aggressive

Date of Assessment: \_\_\_\_\_

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## 6. PRODUCT APPROPRIATENESS

Before processing relevant investments, AMEVA shall consider whether the proposed mutual fund product is broadly consistent with:

- Investor's risk profile;
- investment objective;
- investment horizon;
- liquidity requirement;
- financial capacity;
- investment experience;
- existing portfolio exposure; and
- scheme-specific risks.

This is an **MFD due-diligence/product appropriateness process** and should not be construed as discretionary investment management or as a guarantee of suitability or investment performance.

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## 7. MUTUAL FUND RISK DISCLOSURE

The Investor understands that mutual fund investments are subject to market risks and may result in loss of capital.

Depending upon the scheme, risks may include:

- market risk;
- equity risk;
- interest-rate risk;
- credit risk;
- liquidity risk;
- concentration risk;
- inflation risk;
- currency risk;
- volatility risk; and
- scheme-specific risks.

The Investor agrees to read the applicable Scheme Information Document, Key Information Memorandum, risk disclosures and other relevant scheme documents before investing.

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## 8. REGULAR PLAN AND DIRECT PLAN

AMEVA has explained the broad distinction between Regular and Direct Plans.

### Regular Plan

Distributor remuneration may be payable by the AMC/Mutual Fund in accordance with applicable regulations and arrangements.

### Direct Plan

Distributor commission is generally not payable where the investor invests directly.

The Investor acknowledges that the choice of plan should be considered after taking into account costs, services and individual circumstances.

☐ Regular Plan explained

☐ Direct Plan explained

☐ Difference understood

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## 9. COMMISSION / REMUNERATION DISCLOSURE

The Investor acknowledges that AMEVA may receive permissible **trail commission and/or other remuneration from AMCs/Mutual Funds** in relation to eligible Regular Plan investments.

The Investor understands that:

1. remuneration may differ between schemes and product categories;
2. remuneration may change from time to time;
3. remuneration does not constitute a guarantee of investment performance;
4. financial incentive should not be the sole basis for selecting a scheme; and
5. AMEVA is required to manage conflicts of interest and act in the investor's interest.

The AMFI Code requires MFDs to place investor interests paramount, exercise due diligence and independent professional judgment, and appropriately disclose unavoidable conflicts.

**Investor acknowledgement:** ☐ Yes

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## 10. CONFLICT OF INTEREST

AMEVA shall seek to avoid conflicts of interest where possible.

Where a material conflict cannot reasonably be avoided, appropriate disclosure shall be made to the Investor.

The Investor understands that distributor remuneration can create a potential conflict of interest and that AMEVA is required to manage such conflicts fairly and transparently.

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## 11. NO GUARANTEE OF RETURN

AMEVA shall not represent or assure:

- guaranteed returns;
- assured appreciation;
- guaranteed dividend/IDCW;
- guaranteed capital protection; or
- guaranteed exit value,

unless expressly permitted under applicable law.

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## 12. INVESTOR RESPONSIBILITIES

The Investor shall:

1. provide complete and accurate information;
  2. keep KYC and contact information updated;
  3. inform AMEVA of material changes in financial circumstances;
  4. review transaction confirmations and statements;
  5. understand applicable scheme risks;
  6. consider tax and liquidity implications;
  7. independently verify information where appropriate; and
  8. make the final investment decision.
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## 13. TRANSACTION PROCESS

Investment monies should be paid through permitted banking/payment channels in accordance with AMC/RTA/platform procedures.

AMEVA shall not use Investor funds for its own purposes.

AMEVA shall process transactions based on valid instructions and applicable authentication procedures.

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## 14. CONFIDENTIALITY

AMEVA shall maintain reasonable confidentiality and security of Investor information.

Information may be shared with AMCs, RTAs, platforms, regulators, auditors and authorised service providers where required for transaction processing, compliance, servicing or as permitted by law.

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## 15. TAXATION

The Investor understands that taxation of mutual fund investments depends upon applicable tax laws and individual circumstances.

AMEVA does not guarantee tax treatment and the Investor should obtain independent tax advice where required.

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## 16. GRIEVANCE REDRESSAL

The Investor may first approach AMEVA for resolution of any service-related grievance.

### **AMEVA Grievance Officer**

Name: \_\_\_\_\_

Email: \_\_\_\_\_

Telephone: \_\_\_\_

If the grievance is not satisfactorily resolved, the Investor may approach the concerned AMC/RTA and applicable investor grievance mechanisms, including SEBI SCORES, as applicable.

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## 17. RECORD KEEPING

AMEVA shall maintain relevant records in accordance with applicable regulatory requirements, including where applicable:

- KYC;
  - risk profile;
  - investment objective;
  - transaction records;
  - disclosures;
  - investor communications;
  - complaints;
  - product appropriateness assessments; and
  - other compliance records.
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## 18. REVIEW OF RISK PROFILE

The Investor agrees to review the risk profile periodically and whenever there is a material change in:

- income;
  - net worth;
  - liabilities;
  - investment objective;
  - investment horizon;
  - liquidity requirements;
  - risk tolerance;
  - financial commitments; or
  - existing portfolio.
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## 19. TERMINATION

Either Party may terminate this Agreement by giving written notice.

Termination shall not affect investments already made or statutory/regulatory obligations arising before termination.

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# PART B – INVESTOR RISK PROFILING QUESTIONNAIRE

## 20. INVESTOR PARTICULARS

Name: \_\_\_\_\_

PAN: \_\_\_\_\_

Date of Birth: \_\_\_\_\_

Age: \_\_\_\_\_

Occupation: \_\_\_\_\_

**Residential Status:**

☐ Resident Indian ☐ NRI ☐ Other

Dependants: \_\_\_\_\_

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## 21. FINANCIAL PROFILE

### Annual Income

☐ Below ₹5 lakh

☐ ₹5–10 lakh

☐ ₹10–25 lakh

☐ ₹25–50 lakh

☐ Above ₹50 lakh

### Net Worth

☐ Below ₹25 lakh

☐ ₹25 lakh–₹1 crore

☐ ₹1–3 crore

☐ ₹3–5 crore

☐ Above ₹5 crore

### **Financial Liabilities**

☐ High

☐ Moderate

☐ Low

☐ Nil / insignificant

### **Emergency Reserve**

☐ None / inadequate

☐ <3 months

☐ 3–6 months

☐ 6–12 months

☐ >12 months

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## **22. INVESTMENT EXPERIENCE**

Products previously used:

☐ Bank Deposits / FDs

☐ Bonds / Debt Securities

☐ Debt Mutual Funds

☐ Hybrid Mutual Funds

☐ Equity Mutual Funds

☐ Direct Equity

☐ ETFs / Index Funds

☐ PMS / AIF / Other

☐ None

**Level of Investment Knowledge:**

☐ Basic

☐ Moderate

☐ Good

☐ Extensive

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## **23. RISK TOLERANCE**

**Q1. If ₹10 lakh invested falls temporarily to ₹8 lakh:**

☐ Sell immediately

☐ Sell substantial portion

☐ Wait and monitor

☐ Remain invested

☐ Consider investing more

**Q2. Maximum temporary decline reasonably tolerable:**

☐ <5%

☐ 5–10%

☐ 10–20%

☐ 20–30%

☐ >30%

**Q3. If equity markets remain volatile for 12–18 months:**

☐ Exit

- ☐ Reduce substantially
- ☐ Wait
- ☐ Continue investment plan
- ☐ Consider increasing investment

**Q4. Which statement best describes you?**

- ☐ Capital preservation is paramount
  - ☐ I prefer low volatility
  - ☐ I accept moderate volatility
  - ☐ I accept significant volatility for long-term growth
  - ☐ I accept high volatility for higher long-term potential returns
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## **24. FINANCIAL CAPACITY**

**Importance of preserving capital**

- ☐ Extremely important
- ☐ Very important
- ☐ Moderately important
- ☐ Less important
- ☐ Long-term growth more important

**Investment as % of total financial assets**

- ☐ >75%
- ☐ 50–75%
- ☐ 25–50%
- ☐ 10–25%

☐ <10%

**When will funds be required?**

☐ <1 year

☐ 1-3 years

☐ 3-5 years

☐ 5-10 years

☐ >10 years / no specific requirement

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## 25. RISK ASSESSMENT

**Risk Capacity:**

☐ Low ☐ Moderate ☐ High

**Risk Tolerance:**

☐ Low ☐ Moderate ☐ High

**Investment Horizon:**

☐ Short ☐ Medium ☐ Long

**Final Risk Profile**

☐ CONSERVATIVE

☐ MODERATELY CONSERVATIVE

☐ MODERATE

☐ MODERATELY AGGRESSIVE

☐ AGGRESSIVE

**AMEVA Remarks:**

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## PART C – PRODUCT APPROPRIATENESS RECORD

**Investor:** \_\_\_\_\_

**Date:** \_\_\_\_\_

**AMC:** \_\_\_\_\_

**Scheme:** \_\_\_\_\_

**Plan:** ☐ Regular ☐ Direct

**Option:** ☐ Growth ☐ IDCW

**Investment Amount:** ₹ \_\_\_\_\_

**Scheme Riskometer:** \_\_\_\_\_

**Investor Risk Profile:** \_\_\_\_\_

### Assessment

| Factor               | Assessment |
|----------------------|------------|
| Risk Profile         | _____      |
| Scheme Risk          | _____      |
| Investment Objective | _____      |
| Investment Horizon   | _____      |
| Liquidity            | _____      |
| Financial Capacity   | _____      |
| Experience           | _____      |
| Existing Exposure    | _____      |

### Conclusion

☐ Broadly appropriate / consistent

☐ Further clarification required

☐ Not considered appropriate

**Reason / Rationale:**

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## **PART D – RISK & COMMISSION ACKNOWLEDGEMENT**

The Investor confirms that the following have been explained/made available where relevant:

- ☐ Scheme Riskometer
  - ☐ Market Risk
  - ☐ Credit Risk
  - ☐ Interest Rate Risk
  - ☐ Liquidity Risk
  - ☐ Concentration Risk
  - ☐ Exit Load
  - ☐ Tax implications
  - ☐ Scheme-specific risks
  - ☐ Regular vs Direct Plan
  - ☐ Distributor remuneration / commission
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## **PART E – INVESTOR DECLARATION**

I/We confirm that:

1. The information provided by me/us is true and complete.
2. I/We have disclosed my/our financial circumstances and investment objectives accurately.
3. I/We understand that the risk profile is based on information provided by me/us.
4. I/We understand that mutual fund investments are subject to market risks.
5. I/We understand that investment value can fluctuate and capital loss is possible.

6. I/We understand that past performance does not guarantee future performance.
  7. I/We have been informed of the material risks relevant to my/our investment.
  8. I/We understand the difference between Regular and Direct Plans.
  9. I/We understand that AMEVA may receive permissible distributor remuneration.
  10. I/We understand that AMEVA does not guarantee investment returns.
  11. I/We have been given an opportunity to ask questions and seek clarification.
  12. I/We agree to inform AMEVA of material changes in my/our financial circumstances or risk tolerance.
  13. I/We understand that the final investment decision remains with me/us.
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## PART F – PERIODIC REVIEW

**Original Assessment Date:** \_\_\_\_\_

**Review Date:** \_\_\_\_\_

### Material Change

- ☐ Income
- ☐ Net Worth
- ☐ Liabilities
- ☐ Investment Objective
- ☐ Investment Horizon
- ☐ Liquidity
- ☐ Risk Tolerance
- ☐ Existing Portfolio
- ☐ Family / Financial Obligations
- ☐ No Material Change

### Revised Risk Profile:

- ☐ Conservative
- ☐ Moderately Conservative
- ☐ Moderate

☐ Moderately Aggressive

☐ Aggressive

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## **PART G – SIGNATURES**

### **INVESTOR**

**Name:** \_\_\_\_\_

**Signature:** \_\_\_\_\_

**Date:** \_\_\_\_\_

**Place:** \_\_\_\_\_

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### **AMEVA MUTUAL FUND DISTRIBUTORS**

I confirm that the relevant information was obtained from the Investor and the risk profile/product appropriateness assessment has been recorded based on the information provided.

**Representative Name:** \_\_\_\_\_

**EUIN:** E028717

**ARN:** 145058

**Signature:** \_\_\_\_\_

**Date:** \_\_\_\_\_

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## **INTERNAL AMEVA COMPLIANCE CHECKLIST**

☐ KYC completed

☐ PAN verified

☐ Bank details verified

☐ Investor risk profile completed

- ☐ Investment objective recorded
- ☐ Investment horizon recorded
- ☐ Liquidity requirement recorded
- ☐ Financial capacity assessed
- ☐ Risk tolerance assessed
- ☐ Scheme Riskometer checked
- ☐ Product appropriateness assessed
- ☐ Regular/Direct Plan explained
- ☐ Commission/remuneration disclosed
- ☐ Conflict of interest considered
- ☐ Relevant scheme risks disclosed
- ☐ Deviation, if any, documented
- ☐ Investor declaration obtained
- ☐ Periodic review date recorded

**Reviewed By:** \_\_\_\_\_

**Date:** \_\_\_\_\_

**Remarks:** \_\_\_\_\_